

Sovereign Gold Bond (SGB) 2026: Upcoming Issue, Early Redemption, Interest Rate & Issue Date

The Government of India introduced the Sovereign Gold Bond (SGB) Scheme in November 2015 to provide an alternative to investing in physical gold. They eliminate storage concerns, offer fixed annual interest, and provide capital gains tax exclusion in some cases.

Key Highlights

- **Interest Rate:** 2.5% per annum, paid semi-annually
- **Maturity:** 8 years with exit option after 5 years
- **Tax Rule (2026):** Capital gains exemption only for original subscribers
- **Secondary Market:** Gains taxable even at maturity
- **New Issues:** No calendar announced yet for FY 2026–27

Sovereign Gold Bond Early Redemption Gains (April 2026)

The redemption price for Sovereign Gold Bonds due for premature redemption on **20 April 2026** was fixed at **₹15,254 per unit**, based on the average closing price of gold for the three business days preceding the redemption date.

- Investors in the **SGB 2020 Series** (issue price: **₹5,051 per unit**) realised gains of over **202%** at this redemption price.
- For investors who subscribed online and received a **₹50 discount** (effective issue price: ₹5,001), the total return increases to approximately **205%**.
- These returns are in addition to the **2.5% annual interest earned during the holding period**, highlighting the strong performance of SGBs during periods of rising gold prices.

Sovereign Gold Bonds Upcoming Issues 2026

As of the latest updates from the Reserve Bank of India (RBI), no Sovereign Gold Bond issuance calendar has been announced for FY 2026–27. Investors should monitor official RBI notifications and PIB press releases for any future SGB issuance calendar.

Sovereign Gold Bond Status in 2026

As per the latest updates from the Government of India and RBI:

- No new Sovereign Gold Bond tranches have been announced for FY 2026–27
- The government has not released any issuance calendar
- The scheme has effectively been paused due to high borrowing cost concerns

Existing bonds continue until maturity, and investors can still:

- Earn 2.5% annual interest
- Exit via premature redemption windows
- Trade SGBs on stock exchanges

Sovereign Gold Bond Premature Redemption Dates 2026 (April–September)

As per the latest RBI schedule, multiple Sovereign Gold Bond tranches are eligible for premature redemption between April and September 2026. Investors can exit their bonds after completing 5 years on the interest payment dates.

Below is a summary of the 2026 premature redemption windows:

Month	No. of Redemption Opportunities
April 2026	Multiple tranches eligible; SGB 2020-21 Series I (Redemption Price: ₹15,254, Date: April 20)
May 2026	Multiple tranches eligible
June 2026	Multiple tranches eligible
July 2026	Highest (8 redemption dates)
August 2026	6 redemption dates
September 2026	Multiple tranches eligible

Eligibility for Sovereign Gold Bond

The following are eligible to subscribe for SGB:

- Indian resident individuals
- Individuals on behalf of a minor
- Trusts
- [HUFs](#)
- Universities, and
- Charitable institutions

How do Sovereign Gold Bonds Work?

Sovereign Gold Bonds allow investors to invest in gold in digital form, earn fixed interest, and benefit from price appreciation over time.

- Purchase Sovereign Gold Bond from a bank, SHCIL or designated post offices.
- If you have purchased an SGB online, it will reflect in the Demat account portfolio. In case of offline purchase, you can collect the SGB certificate from the holding of the issuing bank, post offices, SHCIL offices or designated agents.
- You will get a 2.5% interest per annum.
- You can redeem your SGB after 8 years or prematurely redeem it after 5 years.

Sovereign Gold Bonds Scheme Details

Sovereign Gold Bonds come with predefined features such as maturity, interest rate, investment limits, and redemption rules set by the government.

- **Maturity Period:** The maturity period of SGBs is 8 years. However, premature redemption is allowed from the 5th year.
- **Interest Rate:** The current interest rate for SGB is 2.50% p.a., paid twice a year (semi-annually) for 8 years.
- **Minimum Investment:** The minimum initial investment is 1 gram of gold per investor.
- **Maximum Investment:** The maximum limit of investment is 4 kg of gold per investor (individual and HUF). However, for entities such as trusts and universities, 20 kg of gold investment is permissible.
- **Tradability:** Only RBI can issue Sovereign Gold Bonds on behalf of the Central Government, and they can be traded on the Stock Exchange.
- **Tax Benefits:** Capital gains exclusion at redemption is available only to original subscribers of Sovereign Gold Bonds who hold the bonds continuously till redemption. SGBs purchased from stock exchanges or transferred privately are taxable on redemption, as per applicable capital gains rules.
- **Collateral for Loans:** Sovereign Gold Bonds can be used as collateral for loans.
- **Redemption Price:** The redemption price is in rupees, based on an average closing price of gold of 999 purity in the previous three working days.

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How to Invest in New SGB Issues (Primary Market)?

An investor can apply for a Sovereign Gold Bond through various authorised channels such as banks, Stock Holding Corporation of India Limited (SHCIL), designated post offices, and recognised stock exchange, such as the Bombay Stock Exchange and National Stock Exchange of India Limited, either directly or via registered agents.

Follow these steps when a new tranche is announced:

- Visit your post office, SHCIL, or recognised stock exchange portal.
- Choose Sovereign Gold Bond under investment options.
- Enter subscription quantity + nominee details.
- Make payment via net banking/UPI/debit card.
- Receive SGB certificate or Demat credit.

SGBs can also be bought online through the commercial banks' websites authorised to sell them. The process to purchase SGBs through a [bank's online website](#) is as follows:

- Login to the bank's internet banking account.
- Click on the 'e-service' option and choose the 'Sovereign Gold Bond' option.
- Read the terms and conditions and click the 'Proceed' option.
- Fill out the registration form and click the 'Submit' button.
- In the purchase form, enter the nominee details and subscription quantity.
- After verifying all the details, click the 'Submit' option and make the payment.
- You will receive a confirmation message along with the bond certificate in your email or Demat account.

How to Buy Existing SGBs on Exchanges (Secondary Market)?

Investors can purchase previously issued SGBs on NSE/BSE:

- Search for SGB + series name (e.g., SGBSEP28).
- Check liquidity and market premiums/discounts.
- Place buy order through your broker.
- Prices may trade below gold price (discount) or above it depending on demand.

SGB vs Gold ETF vs Physical Gold

Given below is a comparison between them:

Feature	Sovereign Gold Bonds (SGB)	Gold ETF	Physical Gold
Issuer Form	Government of India (RBI)	Mutual fund (market-linked)	Jewellery, coins, bars
Returns	Gold price + 2.5% fixed interest	Gold price only	Gold price only
Interest Income	Yes (2.5% p.a.)	No	No
Maturity	8 years (exit after 5 years)	No maturity	No maturity
Tax on Maturity	Tax-free (only for original subscribers)	Taxable (LTCG rules apply)	Taxable (LTCG rules apply)
Tax on Sale Before Maturity	Taxable	Taxable	Taxable

Liquidity	Moderate (exchange + early exit)	High (stock exchange)	Medium (depends on b
Storage	No storage required	No storage required	Requires safe storage
Making Charges / Costs	None	Expense ratio (small)	High (making charges, wastage)
GST	No GST	No GST	3% GST applicable
Risk	Sovereign guarantee	Market risk	Theft, purity risk
Collateral Use	Can be used for loans	Limited	Can be used for gold lo
Best For	Long-term investors	Traders / short-term investors	Consumption + tradition holding

How do SGB Returns Work?

SGB returns come from two components:

- Fixed 2.5% annual interest on issue price.
- Gold price appreciation.

Example:

Issue price = ₹6,263 per gram

Gold price after 8 years = ₹12,500 per gram

Interest earned = $2.5\% \times ₹6,263 \times 8 \text{ years} = ₹1,252$

Capital gains = $₹12,500 - ₹6,263 = ₹6,237$ (excluded from taxation for original subscribers holding continuously till redemption)

Total return per gram $\approx ₹7,489$

Note: The capital gains exclusion shown above applies only to original subscribers who held the SGB continuously till redemption. Secondary market investors will be liable to capital gains tax.

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Sovereign Gold Bond Redemption

When the issued SGB completes 8 years, it comes up for final redemption. The price for final redemption is determined based on the simple average closing price of gold with 999 purity in the previous 3 working days, as reported by the India Bullion and Jewellers Association Ltd (IBJA).

Sovereign Gold Bonds Early Redemption and Premature Exit Rules

Early redemption is permitted after the completion of 5 years from the date of issue, on interest payment dates.

- The price for redemption is determined based on the simple average closing price of gold with 999 purity in the previous 3 working days, as reported by the India Bullion and Jewellers Association Ltd (IBJA).
- Investors can initiate early redemption of their SGBs after 5 years from the date of SGB issuance, coinciding with the interest payment date.
- Early redemption requests are processed through the issuing bank, post office, or SHCIL, as applicable.
- SGB 2017-18 Series-IX is up for final redemption on 27 November 2026 at a price of ₹12,484 per unit per SGB.

Sovereign Gold Bond Price History (2015–2024)

Looking at the 2022–2025 issue prices (₹5,091–₹6,263 per gram), redemption levels recorded for earlier tranches demonstrate how gold's steady multi-year appreciation has translated into meaningful long-term gains for investors.

Financial Year	Series/Month	Issue Price (₹ per gram)
2015–16	Series I (Nov 2015)	₹2,684
	Series II (Jan 2016)	₹2,600
2016–17	Series I	₹3,119
	Series II	₹3,150
	Series III	₹3,007
	Series IV	₹2,943
2017–18	Multiple series	₹2,830 – ₹2,987

2018–19	Multiple series	₹3,114 – ₹3,326
2019–20	Series I	₹3,196
	Series V	₹3,788
	Series X	₹4,260
2020–21	Series I	₹4,639
	Series V	₹5,334
	Series XII	₹4,662
2021–22	Series I	₹4,777
	Series V	₹4,790
	Series X	₹5,109
2022–23	Series I (June 2022)	₹5,091
	Series II (Aug 2022)	₹5,197
	Series III (Dec 2022)	₹5,409
	Series IV (Mar 2023)	₹5,611
2023–24	Series I (June 2023)	₹5,926
	Series II (Sept 2023)	₹5,923
	Series III (Dec 2023)	₹6,199
	Series IV (Feb 2024)	₹6,263

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Sovereign Gold Bond Tax Exemption

There are no tax deduction benefits for investing in Sovereign Gold Bonds under [Section 80C of the Income Tax Act](#). The 2.5% annual interest is taxable under “Income from Other Sources” as per the investor’s [income tax slab](#). No TDS is deducted.

Union Budget 2026 Update

Capital gains exclusion on Sovereign Gold Bonds has been restricted in Budget 2026. The exclusion from capital gains taxation at redemption is now available only to investors who originally subscribed to the SGB and held it continuously till redemption. Investors who purchase SGBs from the secondary market are not eligible for this capital gains exclusion, even if the bonds are held till redemption.

Capital gains taxation:

- **Original subscribers holding SGBs continuously till redemption:** Capital gains are excluded from taxation.
- **Secondary market investors:** [Capital gains are taxable](#), even if the bonds are held till redemption.
- **Gifted SGB:** The interest income is taxable is to be paid by the recipient, while capital gains tax will depend on the holding period, including the previous owner’s holding duration.

If SGBs are sold or transferred before maturity:

- **Short-term capital gains (up to 2 years):** Taxed as per income tax slab.
- **Long-term capital gains (more than 2 years):** Taxed at 12.5% without indexation.

Loan Against Sovereign Gold Bonds

Sovereign Gold Bonds can be used as collateral for loans.

- Loan-to-value (LTV) ratio is linked to gold loan norms set by RBI
- Interest rates depend on the lending bank
- Bonds must be pledged in Demat or certificate form

Banks treat SGBs similar to gold loans, but processing may vary.

Sovereign Gold Bond Benefits

Sovereign Gold Bonds offer multiple advantages over physical gold, including interest income, tax benefits, and secure digital ownership.

- Sovereign Gold Bonds provide guaranteed returns since it is a government-backed scheme.
- You can earn a guaranteed annual interest at the rate of 2.50% (on the issue price).

- SGBs have low-risk since they come with a sovereign guarantee on the principal and the interest earned.
- You can trade gold sovereign bonds on stock exchanges within a specific date (at the issuer's discretion). For instance, after completing five years of investment, you can trade them on the National Stock Exchange or Bombay Stock Exchange, among others.
- Some banks accept SGB as collateral/security against loans pledged in Demat form. Hence, they will treat it as a gold loan after setting the loan-to-value (LTV) ratio to the value of gold. The India Bullion and Jewellers Association Limited determines this.

Sovereign Gold Bonds remain a secure, government-backed gold investment with assured interest. Following Budget 2026, capital gains exclusion is limited to original subscribers who hold the bonds continuously till redemption. Investors purchasing SGBs from exchanges should factor in capital gains taxation before investing.

Related Articles

[How to Buy Sovereign Gold Bonds Online?](#)

[Gold Investment in India- How to Invest, Options, Benefits](#)

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Frequently Asked Questions

Are there any risks in investing in SGBs?

Yes, Sovereign Gold Bonds (SGBs) carry some risks—mainly price risk (gold prices can fall), limited liquidity in the secondary market, an 8-year maturity period, and taxable interest income, even though the principal is backed by the Government of India.

How to buy Sovereign Gold Bonds?

You can buy SGBs through the branches or offices of nationalised banks, designated post offices, scheduled foreign banks and scheduled private banks. You can choose any bank to invest in SGBs. It is recommended to apply for an SGB where you have a bank account.

Are SGB returns taxable?

Yes, Sovereign Gold Bond (SGB) returns are partly taxable—interest income is fully taxable, while capital gains at maturity are tax-free only for original subscribers who hold the bonds till redemption.

Where can investors get the SGB application form?

Investors can get the Sovereign Gold Bond (SGB) application form from authorised issuing channels such as designated bank branches, post offices, Stock Holding Corporation of India Ltd (SHCIL), or download it during an active issue period from official bank or RBI-related platforms.

Is there a Sovereign Gold Bond 2026 issuance?

No, there is no Sovereign Gold Bond issuance announced for 2026, as the RBI has not released any new issue calendar for FY 2026–27.

Can I redeem SGB before maturity?

Yes, Sovereign Gold Bonds (SGBs) can be redeemed before maturity after completing 5 years from the date of issue, but only on the interest payment dates.

How to redeem sovereign gold bonds?

Sovereign Gold Bonds can be redeemed at maturity (after 8 years) automatically, or prematurely after 5 years by submitting a request through the issuing bank, post office, or SHCIL on interest payment dates.

How to sell sovereign gold bonds?

Sovereign Gold Bonds can be sold on stock exchanges (NSE/BSE) before maturity through a Demat and trading account by placing a sell order for the specific SGB series.

Can NRIs invest in sovereign gold bonds?

No, Non-Resident Indians (NRIs) are not eligible to invest in Sovereign Gold Bonds (SGBs). However, if an individual becomes an NRI after investing, they can continue to hold the bonds till maturity.

Can nominees claim the sovereign gold bond amount upon the death of the investor?

Yes, a nominee can approach the bank, post office, or depository participant where the Sovereign Gold Bond was held and submit a claim. If no nomination is registered, the legal heir (such as the executor, administrator, or holder of a succession certificate) can submit a claim with the respective bank, receiving office, or depository, as per applicable procedures.

What are the KYC requirements for SGBs?

The KYC requirements for Sovereign Gold Bonds (SGBs) are the same as those for purchasing gold and include documents such as PAN card, identity proof (Aadhaar, passport, voter ID), and address proof, as per RBI guidelines.